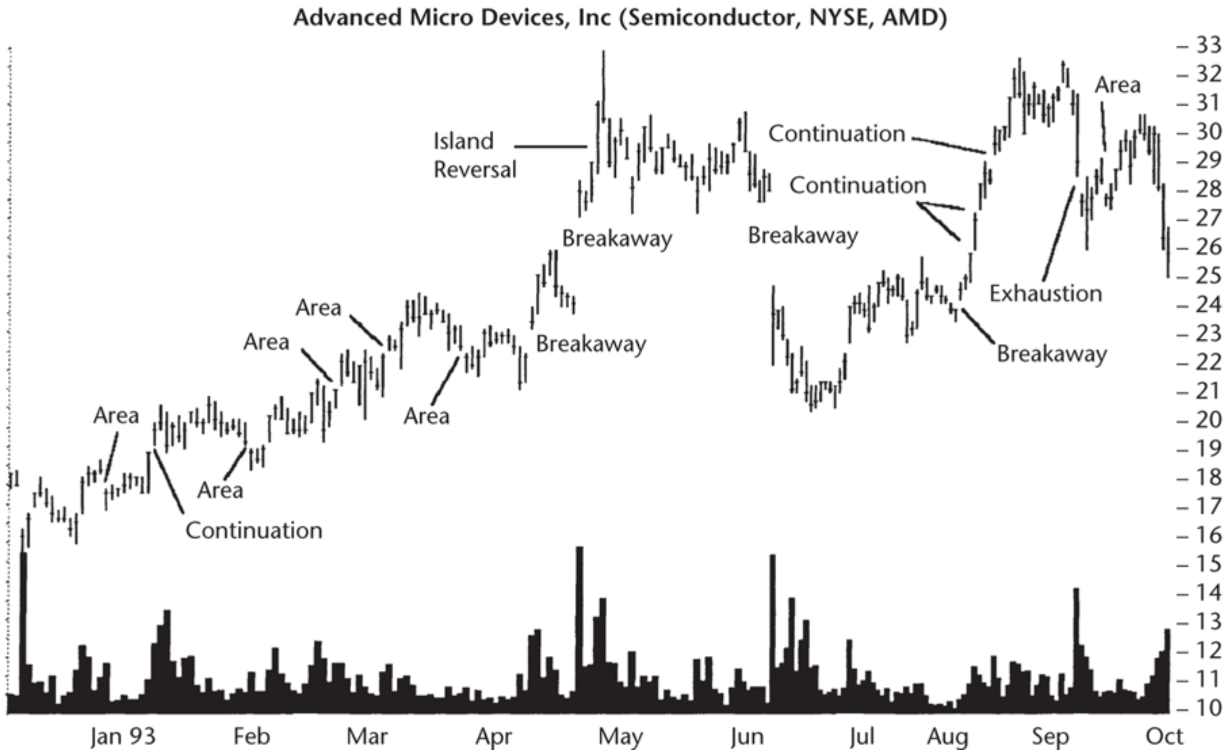

Figure 36.2 Various gap types with area gaps illustrating the hook feature. Volume pattern and position within the trend are the main ingredients to correctly identifying the different gap types.

Continuation gaps. Continuation gaps occur along a strong price trend. They do not happen often since it takes a sharp rise followed by a gap and a continued rise in the stock (the reverse for downtrends, too).

In Figure 36.2, you can see several continuation gaps in August when price zooms from a low of 23.50 to 32.63 in about 2 weeks. The gaps appear in the quick, sharp price rise on high, but not unusually high, volume. The quick rise forms new highs and the gap remains open (compare these continuation gaps with how quickly area gaps close). Of course, in a downtrend, price gaps downward and forms new lows.

Ex-dividend gaps. An ex-dividend gap appears on the price chart when a dividend-paying stock distributes the dividend. Usually, however, the day's trading range will cover the gap.

Exhaustion gaps. Exhaustion gaps commonly follow continuation gaps, but there are lots of exceptions. Excessively tall gaps are most likely exhaustion gaps when they appear near the end of a trend. An exhaustion